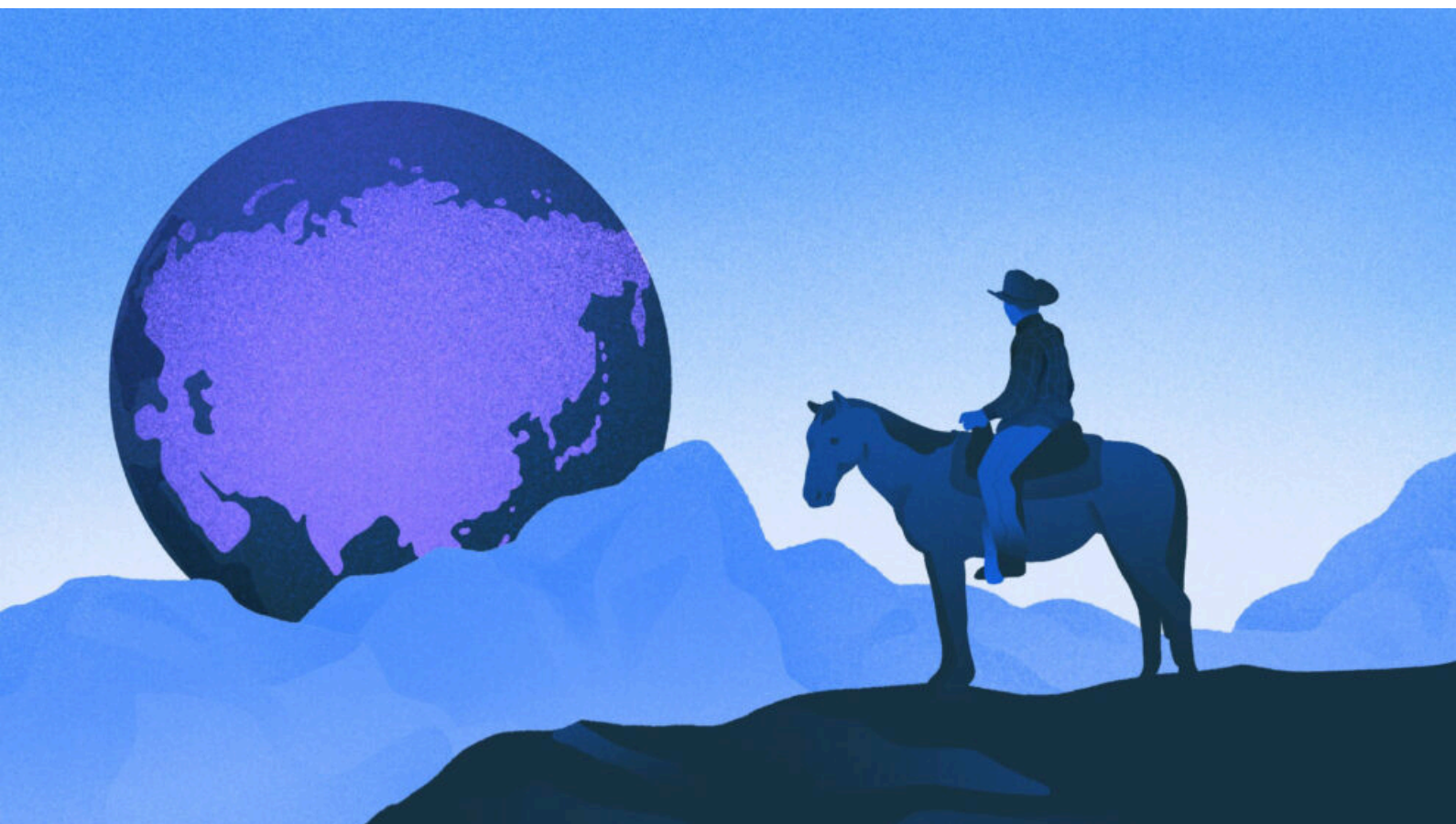


Asia Venture Funding Tanks To 10-Year Low

Chris Metinko January 9, 2025

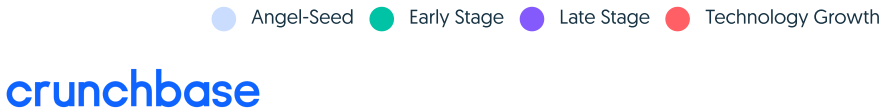


Chris Metinko

While global venture investment [rebounded last year](#), the Asia funding market cratered, totaling only \$65.8 billion in 2024 — the exact same low the market hit in 2014.

With the exception of seed and angel, every other funding stage was down last year as geopolitical events and a struggling Chinese economy seemed to drag the venture market down, per Crunchbase data.

Asia Venture Dollar Volume By Annum



crunchbase

The fourth quarter showed a little resilience, bouncing back after a slow Q3, with venture funding to Asia-based startups totaling \$15.3 billion — a 12% increase from Q3 but a 33% drop from Q4 2023.

Asia Venture Dollar Volume Through Q4 2024

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	12%	-33%

crunchbase

Deal flow for Q4 also was down significantly — hitting its lowest mark since before the pandemic. Only 1,524 venture rounds were consummated in

Asia in Q4 last year, a decline of 10% from Q3 and 22% from the same quarter in 2023.

Asia Venture Deal Volume Through Q4 2024

● Angel-Seed ● Early Stage ● Late Stage ● Technology Growth

	QoQ Change [%]	YoY Change [%]
Overall Deal Volume	-10%	-22%

crunchbase

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Year-to-year drop

To help put in perspective how much of a drop the nearly \$66 billion in total venture funding was last year, just remember the total venture funding just two years ago was more than double that at almost \$129 billion.

In 2021, total funding was \$194 billion.

Seed and angel funding saw a 5% uptick from 2023, hitting \$7.5 billion. However, early-stage and late-stage/technology funding both took a hit.

Early-stage funding totaled less than \$29 billion for the year — a 5% decline from 2023.

Late-stage and technology funding saw a way bigger drop for the year, also totaling less than \$30 billion — a 42% falloff from the nearly \$51 billion those rounds saw in 2023.

Late-stage and growth rounds stay low

It was that drop in late-stage and technology rounds that hampered any thought of a 2025 rebound for Asia's venture scene.

While the Q4 numbers for late-stage and technology rounds actually jumped from Q3, that was only because of how low that quarter's numbers ended.

Asia Late-Stage & Technology Growth Investment Through Q4 2024

crunchbase

The fourth quarter saw a total of \$7.2 billion raised in late-stage and technology rounds, up 30% from Q3, but down 47% from Q4 2023 when such rounds raked in \$13.6 billion.

The biggest late-stage and technology rounds in Asia from the quarter included:

- In October, Singapore-based [GDS International](#), a developer and operator of data centers, raised \$1 billion from institutional private-equity investors.
- In December, China-based [Avatr](#), an electric vehicle brand, raised a Series C worth approximately \$1.5 billion.
- Also in December, China-based semiconductor foundry [SJ Semi](#) raised a \$700 million venture round.

Deal flow was no better, with only 124 late-stage and technology rounds being announced in Q4, a 15% drop from Q3 and a bigger 34% dropoff from the same quarter in 2024.

Early stage falls

Similar to late-stage and technology rounds, early-stage rounds saw an uptick quarter to quarter, but were down year to year.

In Q4, early-stage rounds totaled \$6.4 billion in 556 announced rounds. The dollar figure was a modest 3% increase from Q3, but a 16% decline from Q4 2023.

Asia Early-Stage Investment Through Q4 2024

crunchbase

The deal volume number was almost even with Q3 of last year, but a 12% decrease from the previous Q4.

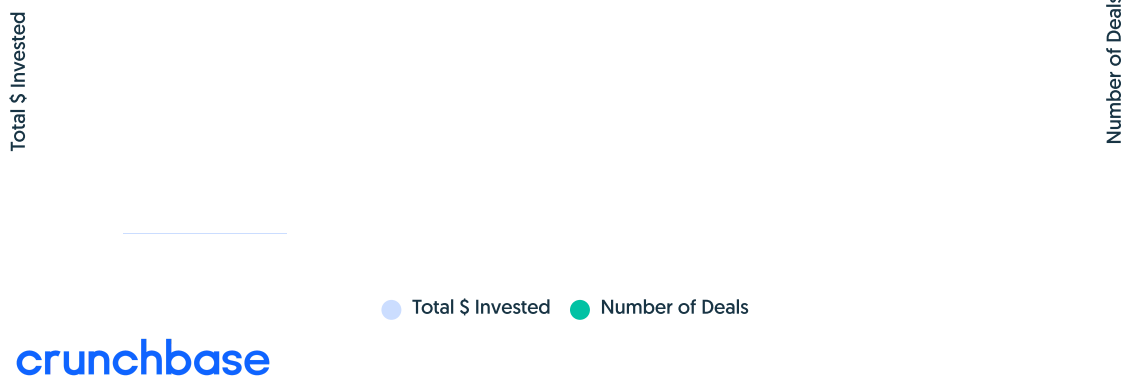
Angel and seed fail to sprout

Although angel and seed funding do not move the overall total funding numbers much, it can be a sign of where the market is heading.

Asia venture investors likely hope that is not the case, as angel and seed funding — the lone bright spot for the year-end totals — drifted back to its previous lows in Q2 and Q3 2023 in the most recent quarter.

Total angel and seed funding was just \$1.7 billion in Q4, a 13% drop from the previous quarter and a 6% year-to-year decline.

Asia Seed And Angel Investment Through Q4 2024



Deal volume also tanked for the earliest of rounds, totaling just 844 rounds. That number is a 14% decrease from Q3 and a whopping 25% fall from Q4 2023.

What we learned

The Asia market continues to sputter — and that likely is putting it kindly for VCs.

Last year saw its overall share of the global venture market drop to only 21% — after being nearly 30% in recent years.

Perhaps more troubling, AI startups seem to be taking off around the world but not so in Asia. The region actually saw its venture funding to AI-related startups decrease in Q4 to only \$1.7 billion — a 28% drop from Q3 and a 21% decline from Q4 2023.

In fact, the region seems to be benefiting very little from the AI craze.

Clearly the tensions in the Middle East, Japan's sluggish growth, and inflationary pressures and China's "deflationary spiral" — where the

government recently stepped in to hike civil servants' pay in an effort to reverse the trend — are helping to cripple the region's venture market.

That doesn't even include changes in the U.S., which could heighten tensions with several countries on the continent.

This year, the \$66 billion in venture raised by startups in Asia may not look bad.

Related reading

- [Startup Funding Regained Its Footing In 2024 As AI Became The Star Of The Show](#)

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: [Dom Guzman](#)